

U.S. Airlines

Delta Air Lines Inc

Rating

Outperform

Price Target



106.00 USD (93.00 OLD)

13 July 2026

Price Target Change

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Delta Air Lines (DAL) 2Q26: Taking numbers up on strong booking curve and pricing backdrop, raise PT to \$106

Delta Air Lines (DAL) reported 2Q26 adj. diluted EPS of \$1.56, above the high end of its guided range (\$1-\$1.50 [Exhibit 3](#)) and +3% vs. the street / us ([Exhibit 2](#)). FY26 EPS guide of \$6-7 (~18% above street estimates going into the print) was reaffirmed ([Exhibit 6](#)). It feels like bookings through 4Q are solid and pricing should hold up better than anticipated even as fuel moderates. We take our FY26 adj. EPS up 18% and raise out-years ~9% on avg. as well on greater conviction in a positive structural pricing shift in the industry.

2Q26 adj. EPS 3% beat and reaffirmed FY guide pointed to upside vs. estimates. Diversified revenue streams continued to bolster growth, comprising 61% of revenue, up 2 points YoY. Premium product expansion remains a priority: already, capacity in premium — which boasts higher load factors — is +LSDs, while main cabin is down 2-3%. Domestic trajectory is looking good, especially from corporate sales perspective (>+20% YoY across core / coastal hubs, even 30% in some big cities). Reaffirmed FY26 EPS outlook of \$6.50-7.50 implies 10% upside to consensus 3Q estimates (using new guidance of \$2-\$2.50, [Exhibit 5](#)) and 39% to 4Q estimates. **Taking up our estimates.** Solid demand with cash sales improving through the quarter across entire booking curve in both main cabin and premium products; 4Q bookings already coming in strong. YoY TRASM growth now expected to accelerate in 3Q (previously modeled similar growth to 2Q) and DAL's outsized 4Q earnings expectation signals higher conviction in fares moderating less than fuel prices and DAL retaining a portion of that as earnings. We take up numbers to reflect 2Q beat / greater confidence in elevated airfares holding up even as fuel prices come down. Fuel still a wildcard, but regardless structural changes in industry conduct support the view that the sector should re-rate.

Investment Implications

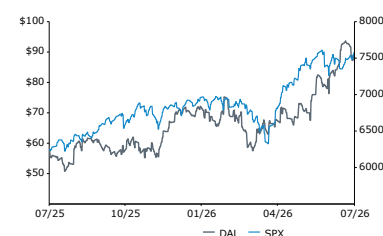
Reiterate Outperform rating, raise PT to \$106.

Adjusted EPS	F25A	F26E	F27E
DAL (USD)	5.84	6.92	9.08
OLD	--	5.86	8.52

Financials	F25A	F26E	F27E	CAGR
Revenues (M)	63,364	72,922	74,042	8.1%
EBITDA (M)	8,265	9,520	11,473	17.8%
Net Earnings (M)	5,006	4,443	5,943	9.0%
FCF (M)	3,840	3,778	3,458	(5.1)%
Adj. Operating Margin (%)	10.0	10.5	12.5	--

Close Date	10 Jul 2026			
DAL Close Price (USD)	87.39			
Price Target (USD)	106.00			
Upside/(Downside)	21%			
52-Week Range	95.68/50.45			
SPX	7,575.39			
FYE	Dec			
Div Yield	1.0%			
Market Cap (USD) (M)	57,470			
EV (USD) (M)	72,789			
Performance	YTD	1M	6M	12M
Absolute (%)	25.9	14.3	20.9	53.9
SPX (%)	10.7	4.2	8.7	20.6
Relative (%)	15.3	10.0	12.1	33.3
Source: Bloomberg, Bernstein estimates and analysis.				

Price Performance, 1YR



Valuation Metrics	F25A	F26E	F27E
Adjusted P/E (x)	15.0	12.6	9.6
PEG Adjusted (x)	(3.0)	0.7	0.3
EV/Sales (x)	1.1	1.0	1.0
EV/EBITDA (x)	8.8	7.6	6.3
EV/FCF (x)	19.0	19.3	21.0
PEG Reported (x)	(2.3)	0.7	0.3
Reported P/E (x)	11.4	13.0	9.6

Source: Bloomberg, Bernstein estimates and analysis.

See the Disclosure Appendix of this report for required disclosures, analyst certifications and other important information. Alternatively, visit our [Global Research Disclosure Website](#).

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VALUATION COMPS TABLE

EXHIBIT 1: DAL Price Target Table

As of 07/10/2026

DAL (NTM+1, unless noted otherwise)	1-Yr TP
Adj. Revenue	70,136
Adj. EBITDAR	12,614
EBITDAR margin (%)	18.0%
NTM EV/EBITDAR multiple	6.8x
NTM Enterprise value	85,778
Expected NTM net debt (-)	16,091
Equity value	69,687
Diluted shares (NTM)	658
Price Target	106
BERN EPS	\$ 9.70
Implied P/E	10.9x

Source: Company Reports, Bloomberg, Bernstein Estimates and Analysis

DAL: We reach our one-year price target of \$106 (previously \$93) by capitalizing our NTM+1 EBITDAR estimate of \$12.614B (previously \$11.852B) at a multiple of 6.8x (previously 6.5x) and deducting the value of net debt one year from now. Our \$106 (previously \$93) price target equates to 10.9x (previously 10.4x) our NTM + 1 EPS estimate of \$9.70 (previously \$8.98).

DETAILS

Delta Air Lines (DAL) reported 2Q26 adj. diluted EPS of \$1.56, above the high end of its guided range (\$1-\$1.50 [Exhibit 3](#)) and +3% vs. the street / us ([Exhibit 2](#)). FY26 EPS guide of \$6-7 that was ~18% above street estimates going into the print was reaffirmed, as it seems booking curves through 4Q are solid and pricing should hold up better than anticipated even as fuel moderates. We take our FY26 adj. EPS up 18% and raise out-years ~9% on avg. as well on greater conviction in a positive structural pricing shift in the industry.

2Q26 beat and reaffirmed FY guide pointed to upside vs. estimates. Delta Air Lines (DAL) reported 2Q26 adj. diluted EPS of \$1.56, above the high end of its guided range (i.e. \$1-\$1.50 [Exhibit 3](#)) and beating the street / us by 3% ([Exhibit 2](#)).

Diversified revenue streams continue to bolster growth, comprising 61% of revenue, up 2 points YoY. Premium revenue grew 17% YoY, which the company attributes to yield strength and premium seat investments; MRO, a major growth engine that the company has been shedding more light on, was up 32% YoY; and Cargo, which beat estimates by ~5%, was up 39% YoY on strong volume. Domestic trajectory is looking good, especially from a corporate sales perspective... corporate sales were up over 20% YoY across core and coastal hubs, even 30% in some big cities like LA and Boston.

The company reaffirmed the FY26 outlook for EPS of \$6.50-7.50. The midpoint of that range was ~18% higher than street estimates going into the print ([Exhibit 6](#)), implying 10% upside to consensus 3Q estimates (using the new guided range of \$2-\$2.50, [Exhibit 5](#)) and 39% to 4Q estimates.

Taking up our estimates. Demand has remained solid with cash sales improving through the quarter across the entire booking curve in both main cabin and premium products; and even though it's early, 4Q bookings are already coming in strong. Alongside capacity growth discipline at DAL and industry-wide (DAL pointing to very moderate ASM growth of ~1% in 3Q and 2-3% in 4Q as we already anticipated before the print), and a low-cost carrier environment plagued by high costs / difficulty covering cost of capital, elevated yield growth seems increasingly sustainable. As such, YoY TRASM growth is now expected to actually accelerate in 3Q from 2Q's ~12.4% (we were previously modeling growth similar to 2Q's levels) and DAL's outsized 4Q earnings expectation signals higher conviction in fares moderating less than fuel prices and DAL retaining a portion of that as earnings.

Looking further out, upgauging efficiency gains (e.g. with MAX10 deliveries) and international capacity expansion in Middle East / Asia will be in focus, new Amazon Leo satellite installations should improve internet offering by year-end, and premium product expansion will remain a priority (already, capacity in premium — which boasts higher load factors — is +LSDs, while main cabin is down 2-3%), all as the company marches toward a mid-teens op margin.

We take up our numbers to reflect the 2Q beat and greater confidence in elevated airfares holding up even as fuel prices come down. We remain a bit more cautious on 4Q than the guide implies, keeping our adj. EPS ~3% below the implied \$2.54 (as this marked a sizable uplift from expectations / translated into a particularly strong 4Q vs. history), landing us slightly below (-1%) the FY26G midpoint of \$7 ([Exhibit 7](#) through [Exhibit 9](#)) and 13% ahead of consensus estimates which should come up as models get refreshed. Our PT goes up 14% to \$106.

EXHIBIT 2: DAL 2Q26 adj. EPS beat street / our estimates by about 3% respectively on a 1% adj. revenue beat

DAL	Actual	Bernstein Est.	Actual vs. Bernstein Est. % Δ	Prior Year	Actual vs. Prior Year % Δ	BBG Consensus	Actual vs. BBG Consensus % Δ
\$ Millions, Except EPS	2Q:26A	2Q:26E		2Q:25		2Q:26E	
Operating revenues:							
Passenger	15,607	15,614	0%	13,867	13%	15,633	0%
Cargo	294	231	27%	212	39%	232	27%
Other	3,856	3,226	20%	2,569	50%	3,274	18%
Total	19,757	19,071	4%	16,648	19%	19,138	3%
Operating Expenses:							
Salaries and related costs	4,762	4,827	-1%	4,402	8%	4,800	-1%
Aircraft fuel and related taxes	4,109	4,366	-6%	2,458	67%	4,505	-9%
Profit sharing	328	350	-6%	470	-30%	358	-8%
Restructuring and other items	-	-	-	-	-	-	-
Other operating expense	8,694	7,734	12%	7,216	20%	7,917	10%
Total operating expenses	17,893	17,277	4%	14,546	23%	17,580	2%
Operating income	1,864	1,794	4%	2,102	-11%	1,495	25%
Operating margin	9.4%	8.0%	148 bps	12.6%	-319 bps	7.8%	162 bps
Other Income:							
Interest Expense	(144)	(142)	-1%	(172)	16%	(149)	3%
Other expense	289	(58)	598%	644	-55%	(38)	868%
Income before income taxes	2,009	1,316	53%	2,574	-22%	1,249	61%
Income Tax	(405)	(316)	-28%	(444)	9%	(278)	-46%
Net income	1,604	1,000	60%	2,130	-25%	1,022	57%
Diluted shares outstanding	658	662	-1%	652	1%	655	0%
Diluted EPS (GAAP)	2.44	1.51	61%	3.27	-25%	1.54	59%
Adjusted Revenue (ex refinery sales, DGS)	17,666	17,474	1%	15,507	14%	17,530	1%
Adjusted operating income	1,563	1,516	3%	584	168%	1,483	5%
Adjusted EBITDA	2,219	2,166	2%	2,650	-16%	2,099	6%
Adjusted pretax income	1,359	1,316	3%	375	262%	1,280	6%
Adjusted tax rate	24.4%	24.0%	43 bps	22.4%	203 bps	23.0%	140 bps
Adjusted net income	1,027	1,000	3%	291	253%	985	4%
Diluted EPS (adjusted)	\$1.56	\$1.51	3%	\$2.10	-26%	\$1.51	4%
Traffic metrics:							
ASM	78,694	77,956	1%	77,645	1.4%	78,261	1%
TRASM ex-refinery sales and DGS	22.45	22.41	0%	19.97	12.4%	22.40	0%
PRASM	19.83	20.03	-1%	17.86	11.0%	19.98	-1%
Consolidated CASM	22.74	22.16	3%	18.73	21.4%	22.46	1%
Consolidated CASM ex	14.09	14.06	0%	13.20	6.7%	14.22	-1%

Source: Company Reports, Bloomberg, Bernstein Estimates and Analysis

GUIDANCE GOING INTO THE 2Q PRINT

EXHIBIT 3: Guidance from the last print... DAL 2Q26 Guide vs. Bernstein and Bloomberg Consensus Estimates

These numbers reflect Bernstein and consensus estimates prior to the 2Q26 print.

	Guidance			BERN		BBG	
	2Q:26G			2Q:26E	Guide vs. Est.	2Q:26E	Guide vs. Est.
	Low	Mid	High				
Adj Rev - ex refinery	\$17.2B	\$17.4B	\$17.5B	\$17.5B	-0.6%	\$17.5B	-0.9%
CASM-ex (YoY)	5.0%	6.0%	7.0%	6.5%	-55bps	7.7%	-171bps
Adj Operating Margin	6.0%	7.0%	8.0%	8.7%	-168bps	8.5%	-146bps
EPS - diluted, adj	\$1.00	\$1.25	\$1.50	\$1.51	-17.2%	\$1.51	-17.0%

Source: Company Reports, Bloomberg, Bernstein Estimates and Analysis

EXHIBIT 4: **Guidance from the last print... DAL FY26 Guide vs. Bernstein and Bloomberg Consensus Estimates**

These numbers reflect Bernstein and consensus estimates prior to the 2Q26 print.

	Guidance			BERN		BBG	
	FY 2026G			FY 2026E	Guide vs. Est.	FY 2026E	Guide vs. Est.
	Low	Mid	High				
CASM-ex (YoY)	1%	+LSD	3%	5.3%	n.m.	6.8%	n.m.
EPS - diluted, adj	\$6.50	\$7.00	\$7.50	\$5.86	19.5%	\$5.95	17.7%
FCF	\$3.0B	\$3.5B	\$4.0B				
Gross Leverage		2.0x					

Source: Company Reports, Bloomberg, Bernstein Estimates and Analysis

UPDATED GUIDANCE VS. EXPECTATIONS GOING INTO THE 2Q PRINTEXHIBIT 5: **New guidance... DAL 3Q26 Guide vs. Bernstein and Bloomberg Consensus Estimates**

These numbers reflect Bernstein and consensus estimates prior to the 2Q26 print.

	Guidance			BERN		BBG	
	3Q:26G			3Q:26E	Guide vs. Est.	3Q:26E	Guide vs. Est.
	Low	Mid	High				
Adj Rev - ex refinery	\$17.3B	\$17.5B	\$17.6B	\$17.0B	2.6%	\$17.2B	1.4%
CASM-ex (YoY)	moderating from 2Q's 6.8%			6.1%		6.4%	
Adj Operating Margin	11.0%	12.0%	13.0%	9.7%	233bps	10.9%	106bps
EPS - diluted, adj	\$2.00	\$2.25	\$2.50	\$1.67	34.8%	\$2.04	10.4%

Source: Company Reports, Bloomberg, Bernstein Estimates and Analysis

EXHIBIT 6: **New guidance... DAL FY26 Guide vs. Bernstein and Bloomberg Consensus Estimates**

These numbers reflect Bernstein and consensus estimates prior to the 2Q26 print.

	Guidance			BERN		BBG	
	FY 2026G			FY 2026E	Guide vs. Est.	FY 2026E	Guide vs. Est.
	Low	Mid	High				
EPS - diluted, adj	\$6.50	\$7.00	\$7.50	\$5.86	19.5%	\$5.95	17.7%
FCF	\$3.0B	\$3.5B	\$4.0B				
Gross Leverage		2.0x					

Source: Company Reports, Bloomberg, Bernstein Estimates and Analysis

OUR UPDATED NUMBERS VS. CONSENSUS

EXHIBIT 7: DAL 3Q26E Key Income Statement and Operating Metrics, Bernstein vs. Consensus

DAL	Bern Est. 3Q:26E	Prior Year 3Q:25	Bern Est. vs. Prior Year % Δ	BBG Consensus 3Q:26E	Bern Est. vs. BBG Consensus % Δ
\$ Millions, Except EPS					
<u>Operating revenues:</u>					
Passenger	15,551	13,506	15%	15,195	2%
Cargo	247	233	6%	245	1%
Other	3,218	2,934	10%	3,210	0%
Total	19,016	16,673	14%	18,649	2%
<u>Operating Expenses:</u>					
Salaries and related costs	4,825	4,443	9%	4,822	0%
Aircraft fuel and related taxes	3,583	2,570	39%	3,804	-6%
Profit sharing	488	392	25%	425	15%
Restructuring and other items	-	-			
Other operating expense	7,955	7,584	5%	7,837	2%
Total operating expenses	16,852	14,989	12%	16,888	0%
Operating income	2,165	1,684	29%	1,653	31%
Operating margin	11.4%	10.1%	128 bps	8.9%	252 bps
<u>Other Income:</u>					
Interest Expense	(140)	(171)	18%	(146)	4%
Other expense	(59)	264	-122%	11	-623%
Income before income taxes	1,966	1,777	11%	1,517	30%
Income Tax	(472)	(360)	-31%	(343)	-37%
Net income	1,494	1,417	5%	1,309	14%
Diluted shares outstanding	665	654	2%	655	2%
Diluted EPS (GAAP)	2.25	2.17	4%	2.03	11%
Adjusted Revenue (ex refinery sales, DGS)	17,467	15,197	15%	17,246	1%
Adjusted operating income	2,165	1,695	28%	1,885	15%
Adjusted EBITDA	2,835	2,309	23%	2,581	10%
Adjusted pretax income	1,966	1,483	33%	1,666	18%
Adjusted tax rate	24.0%	24.5%	-48 bps	20.2%	384 bps
Adjusted net income	1,494	1,120	33%	1,330	12%
Diluted EPS (adjusted)	\$2.25	\$1.71	31%	2.08	8%
<u>Traffic metrics:</u>					
ASM	79,765	79,054	1%	79,753	0%
TRASM ex-refinery sales and DGS	21.90	19.22	14%	21.62	1%
PRASM	19.50	17.08	14%	19.05	2%
Consolidated CASM	21.13	18.96	11%	21.08	0%
Consolidated CASM ex	13.76	13.08	5%	13.58	1%

Source: Company Reports, Bloomberg, Bernstein Estimates and Analysis

EXHIBIT 8: DAL 4Q26E Key Income Statement and Operating Metrics, Bernstein vs. Consensus

DAL	Bern Est. 4Q:26E	Prior Year 4Q:25	Bern Est. vs. Prior Year % Δ	BBG Consensus 4Q:26E	Bern Est. vs. BBG Consensus % Δ
\$ Millions, Except EPS					
<u>Operating revenues:</u>					
Passenger	14,902	12,916	15%	14,588	2%
Cargo	256	246	4%	256	0%
Other	3,138	2,841	10%	3,025	4%
Total	18,295	16,003	14%	17,870	2%
<u>Operating Expenses:</u>					
Salaries and related costs	4,858	4,592	6%	4,883	0%
Aircraft fuel and related taxes	3,014	2,380	27%	3,073	-2%
Profit sharing	521	351	48%	413	26%
Restructuring and other items	-	-			
Other operating expense	7,559	7,213	5%	7,542	0%
Total operating expenses	15,952	14,536	10%	15,911	0%
Operating income	2,344	1,467	60%	2,072	13%
Operating margin	12.8%	9.2%	364 bps	11.6%	122 bps
<u>Other Income:</u>					
Interest Expense	(135)	(157)	14%	(134)	-1%
Other expense	(59)	203	-129%	16	-468%
Income before income taxes	2,150	1,513	42%	2,016	7%
Income Tax	(516)	(294)	-75%	(405)	-27%
Net income	1,634	1,219	34%	1,319	24%
Diluted shares outstanding	665	656	1%	656	1%
Diluted EPS (GAAP)	2.46	1.86	32%	2.07	19%
Adjusted Revenue (ex refinery sales, DGS)	16,828	14,606	15%	16,475	2%
Adjusted operating income	2,344	1,470	59%	1,867	26%
Adjusted EBITDA	3,029	2,090	45%	2,396	26%
Adjusted pretax income	2,150	1,311	64%	1,671	29%
Adjusted tax rate	24.0%	22.6%	138 bps	26.3%	-231 bps
Adjusted net income	1,634	1,015	61%	1,231	33%
Diluted EPS (adjusted)	\$2.46	\$1.55	59%	1.89	30%
<u>Traffic metrics:</u>					
ASM	74,697	72,946	2%	74,670	0%
TRASM ex-refinery sales and DGS	22.53	20.02	13%	22.06	2%
PRASM	19.95	17.71	13%	19.54	2%
Consolidated CASM	21.36	19.93	7%	21.18	1%
Consolidated CASM ex	14.36	14.03	2%	14.40	0%

Source: Company Reports, Bloomberg, Bernstein Estimates and Analysis

EXHIBIT 9: DAL FY26E and FY27E Key Income Statement and Operating Metrics, Bernstein vs. Consensus

DAL	Bern Est. FY 2026	BBG Consensus FY 2026	Bern Est. vs. BBG Consensus % Δ	Bern Est. FY 2027	BBG Consensus FY 2027	Bern Est. vs. BBG Consensus % Δ
\$ Millions, Except EPS						
<u>Operating revenues:</u>						
Passenger	58,362	57,718	1%	60,634	59,881	1%
Cargo	1,023	959	7%	1,028	983	5%
Other	13,538	12,792	6%	12,379	12,653	-2%
Total	72,922	71,469	2%	74,042	73,517	1%
<u>Operating Expenses:</u>						
Total operating expenses	66,049	65,758	0%	65,450	65,621	0%
Adjusted Revenue (ex refinery sales, DGS)	66,161	65,470	1%	68,576	67,819	1%
Adjusted operating income	6,969	5,874	19%	8,592	7,866	9%
Adjusted EBITDA	9,616	8,500	13%	11,473	10,677	7%
Adjusted pretax income	6,007	5,114	17%	7,872	7,367	7%
Adjusted pretax margin	8.2%	7.2%	108 bps	10.6%	10.0%	61 bps
Adjusted tax rate	23.8%	22.6%	119 bps	24.5%	24.6%	-13 bps
Adjusted net income	4,578	3,959	16%	5,943	5,552	7%
Diluted EPS (adjusted)	\$6.92	6.10	13%	\$9.08	8.58	6%
<u>Traffic metrics:</u>						
ASM	302,319	301,847	0%	313,027	312,377	0%
TRASM ex-refinery sales and DGS	21.88	21.69	1%	21.91	21.71	1%
PRASM	19.30	19.12	1%	19.37	19.17	1%
Consolidated CASM	21.85	21.68	1%	20.91	21.00	0%
Consolidated CASM ex	14.31	14.17	1%	14.38	14.40	0%

Source: Company Reports, Bloomberg, Bernstein Estimates and Analysis

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 10: DAL Financial Summary

DALSummary Projections	2025	1Q26	2Q26	3Q26E	4Q26E	2026E	2027E	2028E
Airline metrics								
Total ASM, million	298,046	69,163	78,694	79,765	74,697	302,319	313,027	322,418
PRASM, cents	17.37	17.79	19.83	19.50	19.95	19.30	19.37	19.62
All in CASM, cents	19.31	22.20	22.74	21.13	21.36	21.85	20.91	21.15
Adj. CASMx, cents	13.61	15.13	14.10	13.76	14.36	14.31	14.38	14.59
Fuel price per gallon	\$2.28	\$2.62	\$3.93	\$3.15	\$2.85	\$3.16	\$2.63	\$2.58
Income Statement Items (gaap)								
Total operating revenues	63,364	15,854	19,757	19,016	18,295	72,922	74,042	77,488
Total operating expenses	57,542	15,353	17,893	16,852	15,952	66,049	65,450	68,178
Operating income	5,822	501	1,864	2,165	2,344	6,873	8,592	9,310
Interest expense	(679)	(151)	(144)	(140)	(135)	(570)	(485)	(395)
Other expense / income	1,041	(564)	289	(59)	(59)	(393)	(236)	(236)
Income taxes	(1,178)	(75)	(405)	(472)	(516)	(1,468)	(1,929)	(2,126)
Net income	5,006	(289)	1,604	1,494	1,634	4,443	5,943	6,552
Adjusted revenues - ex refinery	58,288	14,200	17,666	17,467	16,828	66,161	68,576	71,750
Adjusted operating income	5,819	652	1,563	2,165	2,344	6,969	8,592	9,310
Adjusted operating margin	10.0%	4.6%	8.8%	12.4%	13.9%	10.5%	12.5%	13.0%
Adjusted pre-tax income	4,996	532	1,359	1,966	2,150	6,007	7,872	8,679
Adjusted EBITDA	8,262	1,287	2,219	2,835	3,029	9,616	11,473	12,427
Adjusted EBITDA margin	14.2%	9.1%	12.6%	16.2%	18.0%	14.5%	16.7%	17.3%
Adjusted net income	3,817	423	1,027	1,494	1,634	4,578	5,943	6,552
EPS - diluted, adjusted	\$5.84	\$0.65	\$1.56	\$2.25	\$2.46	\$6.92	\$9.08	\$10.19
Number of shares - diluted (million)	654	652	658	665	665	660	656	644
Dividends per share	\$0.68	\$0.19	\$0.19	\$0.21	\$0.21	\$0.80	\$0.90	\$0.99
Balance Sheet Items								
Cash and cash equivalents	4,310	5,053	4,665	5,196	5,922	5,922	5,276	5,453
Other current assets	3,808	4,520	5,264	5,445	5,621	5,621	5,708	5,973
Net properties	39,743	40,582	41,544	42,395	43,173	43,173	46,216	49,297
Other assets	33,456	34,276	34,848	34,991	35,130	35,130	35,181	35,378
Total assets	81,317	84,431	86,321	88,026	89,846	89,846	92,380	96,102
Current liabilities	27,624	32,699	33,604	34,284	34,940	34,940	35,101	35,890
Long term debt	12,507	11,076	10,510	10,184	9,858	9,858	8,231	6,603
Other long-term liabilities	20,333	20,280	20,392	20,392	20,392	20,392	20,392	20,392
Total liabilities	60,464	64,055	64,506	64,860	65,189	65,189	63,724	62,885
Common shareholders' equity	20,853	20,376	21,815	23,166	24,657	24,657	28,656	33,217
Total liabilities and common shareholders' equity	81,317	84,431	86,321	88,026	89,846	89,846	92,380	96,102
Cash Flow Statement Items								
Cash provided by operating activities	8,341	2,432	1,596	2,628	2,765	9,421	9,382	10,528
Cash provided by investing activities	(4,186)	(1,263)	(1,512)	(1,521)	(1,464)	(5,760)	(5,923)	(6,199)
Cash provided by financing activities	(3,074)	(435)	(546)	(576)	(576)	(2,133)	(4,104)	(4,151)
Change in cash	1,081	734	(462)	531	726	1,529	(646)	177
Dividends	(440)	(129)	(123)	(143)	(143)	(538)	(592)	(639)
Share repurchase	-	-	-	-	-	-	(1,352)	(1,352)

Source: CME Group, Bloomberg, Bernstein estimates and analysis

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	10 Jul 2026	Price	TTM	Adjusted EPS				Adjusted P/E (x)		
			Closing	Target	Rel. Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
DAL (Delta)	O	USD	87.39	106.00	33.3%	USD	5.84	6.92	9.08	15.0	12.6	9.6
OLD				93.00				5.86	8.52			
SPX			7,575.39									

PRICE TARGET CHANGE / ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

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We reach our one-year price target of \$106 by capitalizing our NTM+1 EBITDAR estimate of \$12.614B at a multiple of 6.8x and deducting the value of net debt one year from now. Our \$106 price target equates to 10.9x our NTM + 1 EPS estimate of \$9.70.

RISKS**Delta Air Lines Inc**

Downside risks to our target price for DAL include: a material slowdown in the global or US economy, unfavorable changes in government regulation of the provision or marketing of air transportation service, weaker than expected air travel demand, stronger than expected capacity growth in the marketplace, intensified competition among carriers, upward volatility in fuel prices, unforeseeable events that may cause disruptions in operations, such as geopolitical events, strikes, outage, extreme weather, etc.

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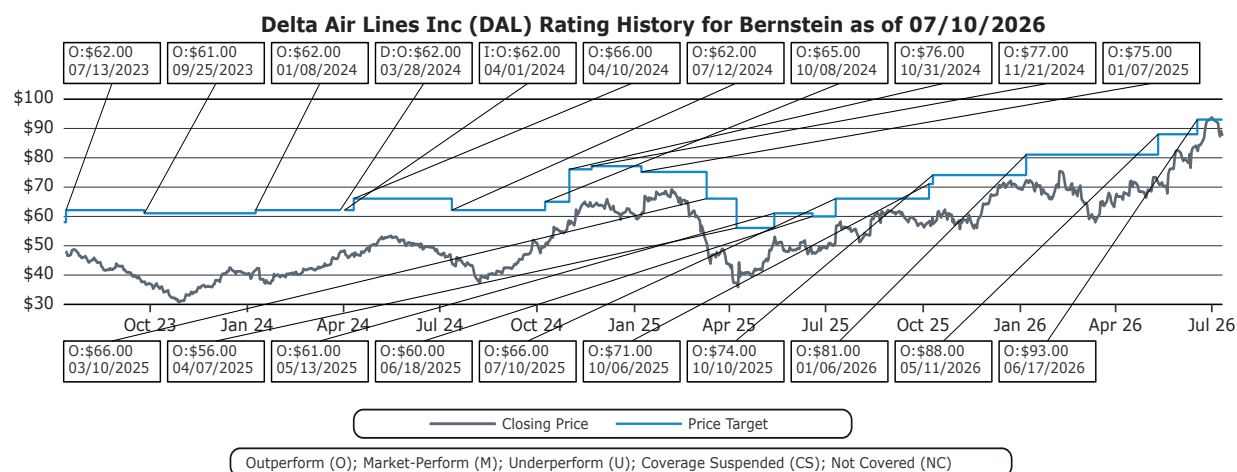
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